

BUS63-1

Corporate Finance Leadership

Albert School — 22 hours

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Preface

This is the capstone of the Finance arc, and you arrive carrying every tool it has built. From **BUS13-3** you can read the three statements as constructed documents and reconcile net income to cash. From **BUS23-3** you can decompose profitability with the SIG and DuPont, measure operational efficiency with ROIC, and compute the free cash flow that decisions actually turn on. From **BUS33-3** you can price time and risk: NPV, the CAPM cost of equity, the after-tax cost of debt, and the WACC that blends them, plus the first cut at capital structure and payout. From **BUS43-3** you can put a defensible value on a firm and on its opportunities, and you have learned to treat that value as judgment under hypothesis sensitivity rather than a spreadsheet output.

What changes here is **posture**. Until now you have stood outside the firm — reading it, diagnosing it, pricing it. Now you sit in the CFO’s chair and run the finance function as an *operating system* inside the company: a set of processes that take the firm’s strategy and its cash and turn them into financing, allocation, and disclosure decisions, repeatedly, under uncertainty and scrutiny. The arc’s tools do not change; the questions do. Not “what is this firm worth?” but “how should *I* finance it, where should *I* deploy its capital, how much should *I* return, and what should *I* tell the board and the market?”

We organise the role into three concentric competences. **Financial architecture** (Chapters 1–3) — how the firm is financed and how it stays liquid. **Capital allocation** (Chapters 4–5) — where

its capital goes, and the single compass, ROIC, that tells you whether that deployment creates or destroys value. **CFO posture** (Chapters 6–8) — FP&A as decision support, governance and stakeholder management, and external communication. Chapter 9 integrates all three into the deliverable the course terminates in: a CFO strategic memo.

One fictional firm runs through the whole book. **Cygnus Group** is a mid-cap European company with two segments: a mature, cash-generative *Industrial* business and a faster-growing *Digital Services* business. Its summary numbers — EBIT €600m, D&A €150m (so EBITDA €750m), a 25% tax rate (NOPAT €450m), invested capital €3,000m, net debt €1,500m, equity market value €4,000m, and a WACC of 8.5% — recur in every chapter. Watch how a single set of facts forces connected decisions: the capital structure you pick constrains the payout you can promise, which constrains the liquidity buffer you must hold, which constrains the projects you can fund. That web of constraints *is* the CFO's job.

1 Financial architecture

Cygnus earns a 15% return on its €3,000m of invested capital — comfortably above its 8.5% cost of capital — yet two CFOs handed the same business could leave it worth quite different amounts, purely by how they finance it. Financial architecture is that lever: the deliberate design of the firm's capital structure and the instruments used to build it. It is the first thing a CFO owns because it sets the cost of every euro the firm will ever deploy.

1.1 The trade-off, made concrete

BUS33-3 gave you Modigliani–Miller: in a frictionless world, capital structure is irrelevant. The real world has frictions, and the CFO's job lives entirely inside them. Suppose Cygnus adds €500m of debt and retires €500m of equity. Two things happen at once. The interest is tax-deductible, so the government effectively subsidises the debt — at a 25% rate, €500m of permanent debt is worth roughly $0.25 \times 500 = €125\text{m}$ of tax shield. But the firm is now closer to the edge: in a downturn, fixed interest still must be paid, and the rising probability of financial distress — lost customers, forced asset sales, cramped investment — carries its own expected cost. Capital structure is the search for the balance between these two.

Definition 1 (The trade-off theory of capital structure) The value of a levered firm is its unlevered value plus the present value of the debt tax shield, less the present value of expected financial-distress costs:

$$V_L = V_U + \text{PV}(\text{tax shield}) - \text{PV}(\text{distress costs}) .$$

An optimum leverage L^* exists where the marginal tax benefit of one more euro of debt just equals its marginal distress cost (Figure 1).

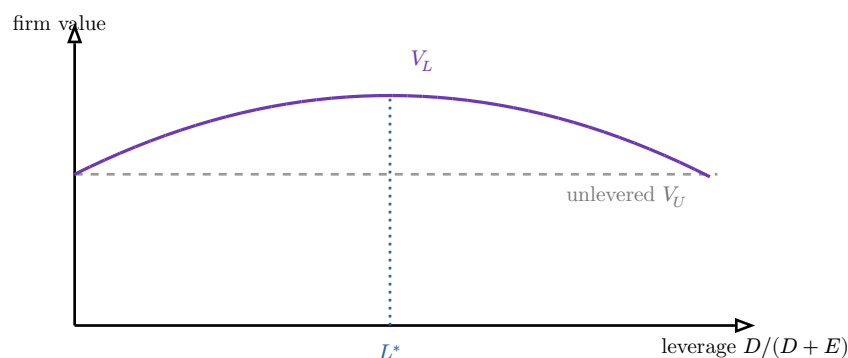


Figure 1: The trade-off. Adding debt lifts value through the tax shield, but beyond L^* the rising present value of distress costs pulls it back down. The CFO's target is a *range* around L^* , not a knife-edge point.

1.2 Signalling: financing is a message

A third force is subtler and often dominates the timing of a real decision. Managers know more about the firm's prospects than the market does, so the act of financing transmits information whether you intend it or not.

Definition 2 (The signalling content of financing) Because managers issue securities they believe are *overpriced*, the market reads an **equity issue as a negative signal** (the shares may be dear) and **new debt as a positive one** (management is confident enough in future cash flows to commit to fixed payments). This logic underlies the *pecking order*: firms fund first from retained earnings, then debt, and issue equity only as a last resort.

Worked example — Cygnus needs €500m — three routes. Cygnus wants to fund a Digital expansion. It can:

- **Issue equity.** No repayment obligation, no added distress risk — but dilutive, and the announcement may itself knock the share price down a few percent on the signal.
- **Issue debt.** Preserves ownership, adds a tax shield, signals confidence — but consumes covenant headroom (Chapter 3) and raises distress risk if Digital's cash flows disappoint.
- **Issue a convertible bond.** Pays a low coupon now and converts to equity if the stock rises — a *hybrid* that bridges the two when straight debt is too heavy and straight equity too cheap to sell.

With leverage already moderate (net debt/EBITDA of $2.0\times$) and Digital's cash flows uncertain, a CFO would likely lean on the convertible or modest debt, not a dilutive equity raise into a depressed signal.

1.3 The instruments

Definition 3 (Debt, equity, and hybrids)

- **Debt** is a fixed claim — contractual interest and principal, senior in bankruptcy, cheapest when cash flows are stable and credit markets open.
- **Equity** is a residual claim — no repayment obligation, but the most expensive capital and most costly to issue when prices are depressed.
- **Hybrids** — convertible bonds, preferred shares — blend the two, used to finance when straight debt or equity is unattractive given the firm's risk profile and prevailing market conditions.

Common pitfall There is no universal optimal structure — only an optimum *for this firm, now*. A stable mature business with predictable cash flows (Cygnus Industrial) can carry far more debt than a volatile growth business (Digital) of the same size. Bolting one target leverage onto the whole group ignores that the two segments have different debt capacities. Evaluating a real firm's structure means locating its leverage against a range justified by its *business risk, growth stage, and market conditions* — not against a textbook ratio.

1.4 Putting it to work

Evaluating a real firm's capital structure means: read its leverage (net debt/EBITDA, interest coverage, debt/equity from BUS13-3), judge its business risk and growth stage, and place it relative to a defensible target range. Recommending a mix means choosing debt, equity, or a hybrid and defending the choice explicitly on the three trade-offs — tax shield, distress cost, and signal — given the market conditions in which the firm must actually transact.

2 Payout policy

The mirror image of financing is distribution. BUS33-3 taught you the mechanics — dividends versus buybacks, their tax and signalling differences. The CFO question is larger: of the cash the firm generates beyond its profitable investment needs, how much to return, in what form, and with what commitment? Get this wrong in either direction — hoarding cash that earns nothing, or promising a dividend the firm cannot sustain — and you destroy value as surely as a bad investment.

2.1 The lifecycle logic

Worked example — Cygnus's two segments want opposite policies. Industrial is mature: it earns an 18% ROIC but has few new projects to fund, so it throws off cash it cannot reinvest profitably. Digital is young: it has more positive-NPV projects than it can fund internally, so every euro is better kept inside. If Cygnus were two standalone firms, Industrial would distribute heavily and Digital would distribute nothing. As one firm, the CFO routes Industrial's surplus partly to fund Digital and returns the rest — payout policy and capital allocation are the same decision seen from two ends.

Definition 4 (The three uses of surplus cash) Cash generated beyond profitable investment needs can be:

- **paid as dividends** — a regular per-share distribution, painful to cut and therefore a strong, sticky commitment;
- **returned through buybacks** — repurchasing shares, more flexible and a weaker, more discretionary signal;
- **accumulated** — retained as cash on the balance sheet, valuable as a buffer but value-destroying if it simply earns the money-market rate forever.

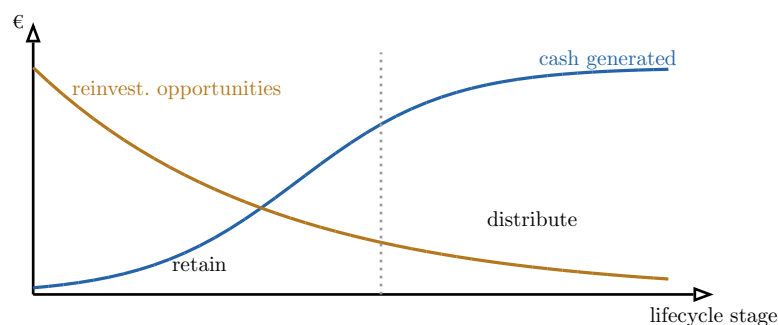


Figure 2: The lifecycle scissors. Early on, reinvestment opportunities exceed internal cash, so the firm retains and may even raise capital; as the business matures the lines cross and surplus cash should be returned. The crossover, not a fixed ratio, sets payout policy.

2.2 Cash dynamics and signalling

Two further forces shape the form of payout. **Cash dynamics:** the more stable and predictable the cash generation, the more the firm can safely commit to a regular dividend; lumpy or cyclical cash argues for flexible buybacks instead. **Market signalling:** initiating or raising a dividend signals durable confidence (because cutting it later is so painful), while a buyback signals that management thinks the shares are cheap — a weaker, reversible message.

Common pitfall The dividend is a **promise**, the buyback is an **option**. Markets punish a dividend cut far more harshly than a paused buyback, because the cut reveals that a commitment management chose to make can no longer be kept. So a CFO should fund the regular dividend only from the cash flow that survives a realistic downturn, and use buybacks for the cyclical surplus on top. A firm that funds its dividend from peak-cycle cash has built a trap for its future self.

Worked example — Cygnus's payout package. Group FCFE is about €300m. The CFO sets a €120m dividend (covered roughly 2.5× by even a stressed FCFE, so it is safe to commit), authorises up to €80m of buybacks to return cyclical surplus while the shares look cheap, and retains the remaining €100m to part-fund Digital and rebuild the liquidity buffer. The package is consistent with the lifecycle (a maturing group with one growth leg), the cash dynamics (a safe base plus a flexible top-up), and the signal (a modest but defensible and raisable dividend).

3 Liquidity and financial resilience under stress

Capital structure is the long-run mix; liquidity is the short-run question of whether the firm can pay what it owes *when it falls due*. The distinction is not academic — solvent firms with valuable assets fail every cycle because they run out of cash at the wrong moment. The CFO's resilience job is to ensure the firm survives a period of impaired cash generation without breaching its obligations.

Definition 5 (The liquidity levers)

- **Cash management** — holding cash and near-cash, and managing the working-capital cycle (BUS23-3's WCR drivers), to cover operating needs and buffer shocks.
- **Credit lines** — committed borrowing facilities (e.g. a revolving credit facility) the firm can draw at will, sized against a stress scenario.

- **Covenants** — contractual conditions in debt agreements (maximum leverage, minimum interest coverage) that, if breached, can trigger default even when the firm is still paying its bills.

3.1 Covenant headroom

Covenants are where capital structure and liquidity collide. A covenant breach can make otherwise-current debt immediately repayable, converting a manageable downturn into a crisis. The CFO therefore monitors not just the covenant but the *distance to it*.

Definition 6 (Covenant headroom) *Covenant headroom* is the margin between a covenant's threshold and the firm's current value on that metric — how far the metric can deteriorate before the covenant is breached.

Worked example — Diagnosing Cygnus's headroom. Cygnus's main covenant is $\text{net debt} / \text{EBITDA} \leq 3.0 \times$. With net debt of €1,500m and EBITDA of €750m, it currently sits at $1500/750 = 2.0 \times$ (Figure 3). Headroom can be read two ways:

- **On earnings:** EBITDA could fall to $1500/3.0 = \text{€}500\text{m}$ — a **33% decline** — before breach.
- **On debt:** net debt could rise to $3.0 \times 750 = \text{€}2,250\text{m}$ — €750m of room — before breach.

A second covenant, interest coverage ($\text{EBIT}/\text{interest} \geq 3.0 \times$), sits at $600/90 = 6.7 \times$; EBIT could fall 55% before that one bites. So the leverage covenant is the binding constraint, and it is the EBITDA path the CFO must stress-test.

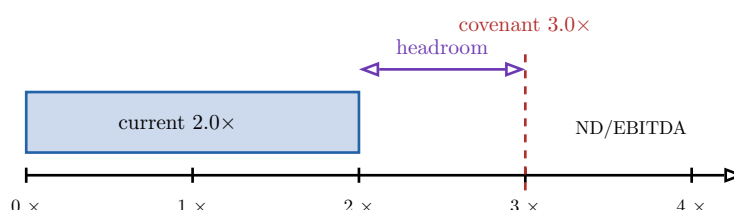


Figure 3: Covenant headroom on the leverage covenant. The gap between today's $2.0 \times$ and the $3.0 \times$ threshold is the cushion; sizing a liquidity plan means knowing how much earnings can fall, or debt rise, before it closes.

3.2 Designing the resilience plan

Common pitfall Headroom is not static — it shrinks from *both ends* in a downturn. A recession cuts EBITDA (raising the ratio) *and* often forces the firm to draw its credit line (raising net debt), so the two effects compound. A plan that assumes only one moves understates the risk. Stress the leverage ratio with EBITDA down *and* the revolver drawn, together.

Designing a liquidity and financial-resilience plan for a named firm means: specifying the cash-management levers (target cash, WCR discipline), sizing the credit lines against a defined stress scenario (e.g. a 30% EBITDA decline for four quarters), and diagnosing covenant headroom so the firm survives the stress without breach. The deliverable is a quantified buffer, not a reassurance.

4 Internal capital allocation

We now turn from how the firm is financed to where its capital goes. Capital allocation is the deployment of the firm's limited capital across its opportunities — the decision Buffett calls the most important job of any CEO, and the one the CFO equips with discipline. BUS33-3 told you to accept every positive-NPV project. The CFO's reality is harsher: capital, management attention, and balance-sheet capacity are all finite, so the question is not “is this project good?” but “is it among the *best* uses of a scarce euro?”

4.1 Prioritising under a budget constraint

Worked example — Cygnus has €300m and €520m of good projects. Cygnus's annual investment budget is €300m, but its units have submitted six positive-NPV projects costing €520m in total. Every one clears the NPV hurdle, yet only some can be funded. Ranking by raw NPV would bias toward big projects; the right ruler is the *profitability index* — value created per euro invested — so the budget buys the most value (Figure 4).

Definition 7 (Capital rationing and the profitability index) When available capital is less than the total demanded by all positive-NPV projects, the firm must *ration*: rank projects by

$$PI = \frac{\text{PV of future cash flows}}{\text{initial investment}} = 1 + \frac{\text{NPV}}{\text{investment}},$$

and fund them in descending order until the budget is exhausted — rather than accepting every positive-NPV project.

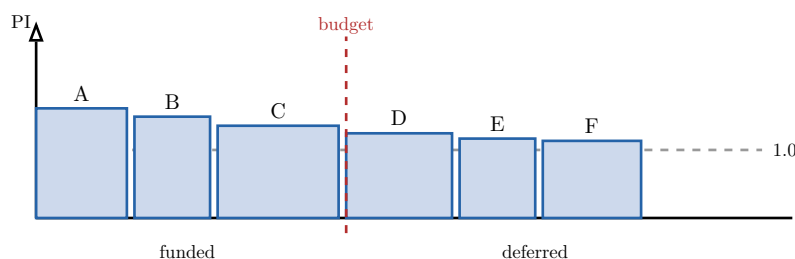


Figure 4: Capital rationing. Projects are ranked by profitability index (bar height); bar width is cost. The budget line falls after A, B, and C — all positive-NPV, but D–F must wait. Ranking by PI, not NPV, maximises value per scarce euro.

4.2 Two levels, and a standing tension

Allocation operates at two levels. At the **project level** the firm prioritises individual projects under the budget constraint, as above. At the **portfolio level** it allocates capital across businesses or units — deciding that Digital should receive a growing share and a declining unit should be starved or sold. Portfolio allocation is where the CFO most directly shapes the firm's future, and where the temptation to fund every unit “fairly” does the most damage: capital should follow returns, not org-chart politics.

Remark A standing tension governs the whole process. Allocation **discipline** — rigorous criteria, hurdle rates, post-investment reviews — guards against value-destroying investment. But pushed too far it becomes **bureaucracy**: a gauntlet so slow and onerous that good projects die in committee and managers stop proposing them. The CFO must hold both —

enough process to enforce quality, little enough to keep speed. This is the same capital-allocation question the S6 Strategic Allocation course approaches from the general-management posture; here it is owned by the finance function.

5 ROIC as capital-allocation compass

How does the CFO know whether all this allocation is working? With one number, applied relentlessly. Return on Invested Capital (BUS23-3) measures the cash return the firm earns on the capital tied up in its operations, independent of how that capital is financed. Compared against the cost of that capital, it is the single compass for value creation.

Definition 8 (The value-creation test) Capital allocation creates value when, and only when, the firm earns more on its invested capital than that capital costs:

$$\text{ROIC} > \text{WACC} \implies \text{value created}, \quad \text{ROIC} < \text{WACC} \implies \text{value destroyed}.$$

The size of the spread, times the capital invested, is the value created per year — the economic-profit (EVA) idea from BUS33-3.

5.1 Value-destroying growth

The most dangerous failure mode is the one that looks like success.

Worked example — Cygnus Digital grows revenue and destroys value. Over three years Digital grew revenue 40% — the story the market loved. But it did so by pouring capital into customer acquisition at a **6% ROIC**, against the group's 8.5% WACC. Every euro invested returned 6 cents and cost 8.5; on the €1,000m now tied up in Digital, that is roughly $(0.06 - 0.085) \times 1000 = -\text{€}25\text{m}$ of value *destroyed each year*, even as the segment's revenue and headcount climb. Growth was not the cure; it was the mechanism of the damage (Figure 5).

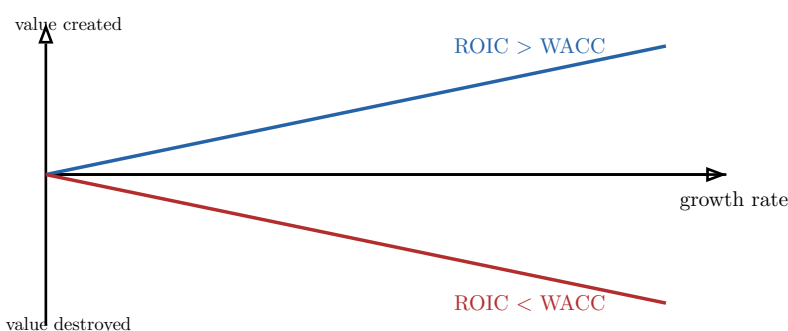


Figure 5: Why growth is not always good. When ROIC exceeds WACC, faster growth creates more value (blue). When ROIC is below WACC, faster growth destroys *more* value (red) — the firm scales a money-losing machine. Diagnosing this requires the ROIC compass, not the revenue line.

Common pitfall Revenue growth is not a value signal — it is value-neutral until you know the ROIC behind it. A CFO who celebrates top-line growth without asking “at what return on capital?” is flying blind. The diagnostic is to find a real firm whose revenue rose while shareholder value fell, and trace the cause to investment earning below the cost of capital

— *not* to the growth itself. The remedy for value-destroying growth is rarely “grow less”; it is “raise ROIC or stop investing.”

5.2 Make, buy, or partner

ROIC tells you *whether* to deploy capital for a capability; it does not tell you *how* to acquire it. That is the make/buy/partner decision, and at the corporate level it turns on more than financial return.

Definition 9 (Make, buy, or partner) To obtain a strategic capability, the firm can:

- **make** — build it internally (most control, slowest, highest commitment);
- **buy** — acquire it (fastest to scale, integration risk, full exposure);
- **partner** — access it through a contract, alliance, or joint venture (least capital, least control, preserves flexibility).

Worked example — Cygnus needs an AI capability for Digital. Cygnus can **build** an AI team (full control and IP, but two years and uncertain hiring), **buy** a startup (capability tomorrow, but a rich price and integration risk), or **partner** with a vendor (cheap and fast, but the capability is rented and a competitor can rent it too). The financially cheapest option, partnering, may be the strategically worst if the capability is core — because it leaves Cygnus exposed and undifferentiated. The decision is made on *strategic coherence*, *future flexibility*, and *competitive exposure*, with ROIC as a constraint, not the sole criterion.

6 FP&A as decision support

The competences so far — architecture, allocation — are decisions. This chapter is about the *machine* that feeds them. Financial Planning & Analysis is the forward-looking nervous system of the finance function: the forecasts, plans, and variance loops that turn strategy into numbers and numbers back into managerial action. Done well, it is the CFO’s primary instrument for steering; done as mere reporting, it is a rear-view mirror.

6.1 From fixed budgets to rolling forecasts

Worked example — Why Cygnus abandons the annual budget. Cygnus used to set a fixed annual budget each December. By the following autumn it was steering with a plan built on nine-month-old assumptions — pre-recession volumes, pre-inflation costs — and managers gamed it, sandbagging targets they knew were stale. Switching to a *rolling forecast*, re-cut every quarter for the next twelve to eighteen months, keeps the plan anchored to current reality and ends the annual sandbagging ritual (Figure 6).

Definition 10 (The FP&A instruments)

- **Rolling forecasts** — forecasts continuously extended and re-cut (e.g. quarterly for the next 12–18 months) rather than fixed once a year, so the plan always reflects current conditions.
- **Driver-based plans** — plans built up from the operational drivers that generate the financials (volume, price, cost per unit, churn), so changing one assumption flows through to every statement automatically.

- **Variance analysis** — comparison of actual to plan, *decomposed* (volume vs price vs mix, from BUS23-3) so each variance points to a specific action and owner.

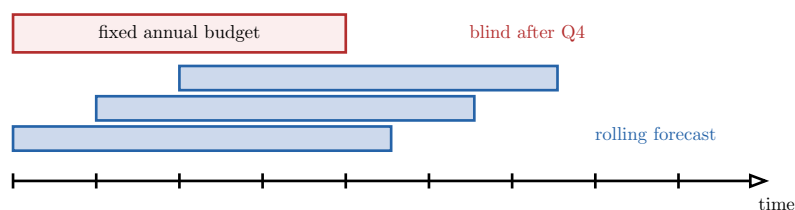


Figure 6: Fixed budget vs rolling forecast. The annual budget (red) is set once and goes blind as the year ages; the rolling forecast (blue) re-cuts every quarter, always looking the same distance ahead. The trade-off is currency of information against the effort of constant re-forecasting.

Common pitfall A rolling forecast is not automatically better — it is better *when the operating environment changes faster than the budget cycle can track*. For a stable, predictable unit, a fixed annual budget is cheaper and just as good; re-forecasting it quarterly is wasted effort. Match the cadence to the volatility, as BUS23-3’s control-lever design taught.

6.2 Decision support versus reporting

Definition 11 (The two roles of FP&A) FP&A’s *reporting* role records and communicates what happened — accurate, backward-looking, indispensable but inert. Its *decision-support* role challenges the growth assumptions behind plans, quantifies strategic risk, and shapes choices *before* they are made. The two are distinct, and the CFO’s value lives almost entirely in the second.

This is where the CFO becomes a **strategic partner**. The decision-support role means sitting with the strategy team to challenge a market-growth assumption before it is baked into a plan; with operations to quantify the cash impact of a supply-chain risk; with HR to model the cost and timing of a hiring ramp. The CFO does not merely score these plans after the fact — the CFO *interrogates them in advance*, turning finance from a referee into a co-author of strategy.

7 Financial governance and stakeholder management

A CFO does not decide in a vacuum. The role sits inside a governance structure that holds it accountable and faces a set of external parties whose judgments constrain the firm’s choices. Managing these relationships is not administrative overhead — a downgrade by a rating agency or a loss of board confidence can close off financing options the previous chapters assumed were open.

Definition 12 (The governance bodies and external stakeholders)

- **Board of directors** — holds the executive accountable, approves major financial decisions (large investments, dividends, big financings).
- **Audit committee** — the board subcommittee overseeing financial- reporting integrity, internal control, and the external audit; the CFO’s most technically demanding internal audience.

- **Investors** — equity holders to whom the CFO communicates performance, outlook, and capital-allocation logic.
- **Credit rating agencies** — assess the firm's creditworthiness; their rating directly sets the cost and availability of debt, feeding straight back into Chapter 1's architecture.

Worked example — A rating threshold reshapes Cygnus's plan. Cygnus is rated one notch above the threshold that separates investment grade from high yield. The agencies have signalled that net debt/EBITDA sustained above $2.5\times$ would trigger a downgrade — raising Cygnus's cost of debt and shrinking the pool of funds that may hold its bonds. That single external constraint caps the debt-funded expansion the CFO might otherwise prefer in Chapter 1, and tightens the covenant-headroom plan of Chapter 3. Stakeholder management is not separate from the financial decisions — it is a binding input to them.

Common pitfall Each stakeholder needs a *different* account of the same truth — the board wants strategy and risk, the audit committee wants control and assurance, investors want the equity story, rating agencies want downside resilience. The failure mode is telling each what it wants to hear until the accounts no longer reconcile. They must all be the **same firm seen from different angles**, never different firms. Consistency across audiences is the test of integrity and the thing scrutiny is designed to catch.

8 External financial communication and disclosure

The last competence is the CFO's voice to the outside world: how the firm's performance, outlook, and risk are articulated to the audiences that price it and fund it. Disclosure is not a neutral data dump — it is a strategic instrument, and its power is precisely why it has limits.

Definition 13 (The channels)

- **Board reports** — reporting of financial position, outlook, and risk to the governance bodies of Chapter 7.
- **Investor updates** — earnings releases, calls, and guidance to shareholders and the market.
- **Analyst interaction** — engagement with the sell-side and buy-side analysts who build the models that set the consensus the firm is judged against.

8.1 The line between transparency and spin

Definition 14 (Disclosure as a strategic instrument — and its limit) How performance, outlook, and risk are *framed* — what is emphasised, sequenced, and contextualised — legitimately shapes how the firm is perceived. That is *positioning*, and it is part of the job. But framing that misrepresents the underlying facts — selective omission of material risk, metrics engineered to mislead — crosses from **transparency** into **spin**, and the instrument's power collapses once the market detects it.

Worked example — Cygnus reports a weak quarter. Digital's value-destroying growth (Chapter 5) has finally dented group returns. The CFO can legitimately *position*: lead with the durable Industrial cash flows, present the Digital reset as a deliberate pivot to higher-ROIC

growth, and give the metrics that show the pivot is real. The CFO crosses the line by burying the ROIC deterioration, inventing an adjusted metric that excludes the bad news, or implying a recovery the internal forecast does not support. The first is communication; the second is the slow destruction of the credibility every future disclosure depends on.

Common pitfall Spin is a **one-time withdrawal from a trust account you spend the rest of your career funding**. A market that catches a CFO managing the message rather than the truth re-prices not just this disclosure but every future one, attaching a credibility discount that raises the cost of capital. The transparency–positioning boundary is therefore not only an ethical line but a financial one: honest framing is sustainable, misrepresentation is a loan against the firm’s own valuation.

Constructing external communication means producing board reports, investor updates, and analyst interaction that manage the transparency–positioning boundary deliberately and never cross into misrepresentation — defended, as in BUS43-3, in live Q&A against a sceptical audience.

9 CFO capstone memo

Everything converges here. The course terminates in an integrated CFO strategic memo for a named firm — the integration test of the entire Finance arc. Its purpose is to prove that the tools do not live in separate chapters: a real CFO decision touches all of them at once, and they must be made *mutually consistent*.

Definition 15 (The CFO strategic memo) A complete memo for a named firm integrating five components:

1. a **capital-structure diagnosis** — current leverage against a defended target range (Chapter 1);
2. a **3-year capital-allocation recommendation** — across projects and businesses, on the ROIC compass (Chapters 4–5);
3. a **distribution policy** — dividends, buybacks, accumulation (Chapter 2);
4. a **12-month FP&A plan** — rolling, driver-based, with the variances that will trigger action (Chapter 6);
5. a **board-level narrative** — the story told to governance and the market (Chapters 7–8), built on the liquidity resilience of Chapter 3.

9.1 Coherence is the deliverable

Worked example — Cygnus, assembled. The pieces only form a memo if one diagnosis runs through all of them. Cygnus’s ROIC compass says Industrial creates value and Digital is destroying it. That single finding drives *every* component: the **allocation** recommendation starves Digital’s low-ROIC growth and redirects capital to Industrial and a make/buy/partner fix for the AI gap; the freed cash supports a **payout** of a safe €120m dividend plus buybacks; the **capital-structure** target stays below the 2.5× the rating agencies will tolerate (Chapter 7), which *bounds* how much of the plan can be debt-funded; the **FP&A plan** installs ROIC-by-segment as a headline driver so the Digital reset is tracked monthly; and the **board narrative** frames all of it as a disciplined pivot to higher-return growth. Change the ROIC diagnosis and every component moves with it.

Common pitfall The memo fails not when a single number is wrong but when the components **contradict** each other: a dividend the liquidity plan cannot survive, an allocation the capital structure cannot fund, a board narrative the FP&A drivers do not support. Graders — and real boards — probe exactly these seams. The integration *is* the test; a memo of five internally fine but mutually inconsistent sections is the most common, and most revealing, way to fail it.

The arc of this course. Take everything the Finance arc built — statements (BUS13-3), diagnosis and control (BUS23-3), the invest/finance/return decisions (BUS33-3), and valuation (BUS43-3) — and run it from the CFO's chair as three connected competences. **Architecture:** choose a capital structure on the tax–distress–signal trade-off, set a payout the firm can keep, and hold enough liquidity and covenant headroom to survive stress. **Allocation:** ration scarce capital by profitability index across projects and businesses, using ROIC versus WACC as the one compass that exposes value-destroying growth, and decide make/buy/partner on strategic — not just financial — terms. **Posture:** run FP&A as decision support not reporting, manage the board, audit committee, investors, and rating agencies as binding constraints, and communicate to the market on the right side of the transparency–spin line. Finally, integrate all three into a single coherent CFO memo — because in the chair, they were never separate.